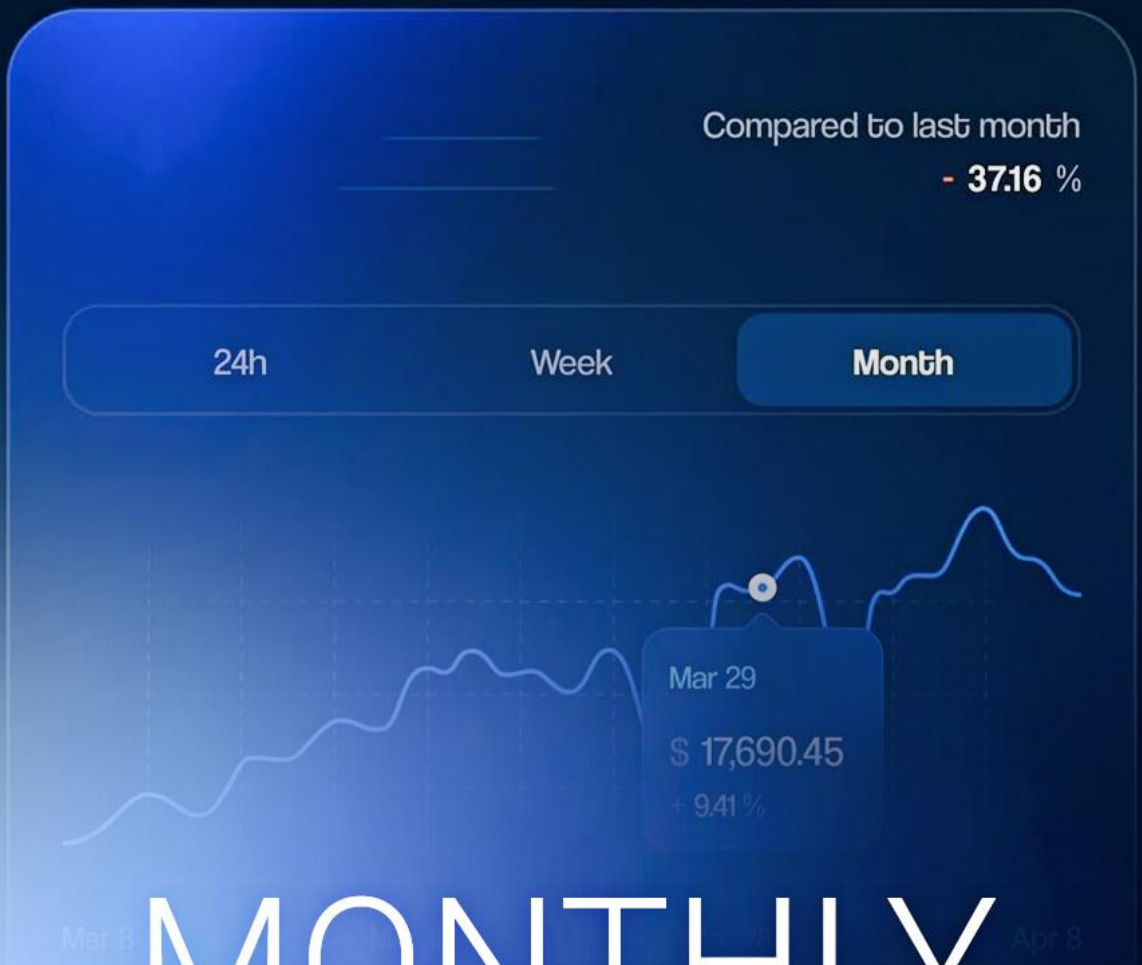
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AIB-AXYS May 2026 Stock Recommendations

April 2026 Highlights

- **Inflation roars back into focus–** Kenya's annual inflation accelerated to 5.6% in April 2026 from 4.4% in March, marking the highest level recorded in over a year. The uptick was primarily driven by rising food and transport costs, with transport inflation climbing to 10.0% y/y amid higher fuel-related expenses, while food and non-alcoholic beverage inflation stood at 8.8% y/y. On a monthly basis, inflation rose by 1.4%, signaling renewed price pressures within the economy. The latest inflation print complicates the outlook for monetary path, with markets likely to reassess expectations around the pace of future rate cuts as inflationary risks begin to re-emerge.
- **Profit warnings signal continued pressure across select sectors- Nairobi Business Ventures Plc and Flame Tree Group Holdings** issued profit warnings, signaling a challenging operating environment across segments of the manufacturing and industrial sector. Nairobi Business Ventures expects earnings for the year ending 31st March 2026 to decline by at least 25.0%, citing difficult market conditions across its operating segments.
- Flame Tree Group similarly anticipates reporting a loss for FY2025, weighed down by the absence of a one-off insurance income recognized in FY2024, elevated financing costs, and broader macroeconomic pressures affecting the manufacturing sector. Despite the expected earnings decline, Flame Tree noted that underlying operational performance remained resilient, supported by revenue growth, improved margins, and cost discipline
- **KMRC deepens sustainable financing push with fresh bond issuance –** Kenya Mortgage Refinance Company (KMRC) announced an issuance of up to KES 3.0 Bn Sustainability Fixed Rate Notes under its KES 10.5 Bn Medium-Term Note Programme. The offer opened on 28th April 2026 and is set to close on 12th May 2026, with trading on the NSE expected to commence on 25th May 2026. Proceeds from the 8-year amortizing note will be directed towards refinancing eligible green and social home loans under KMRC's Sustainable Finance Framework, reinforcing the growing momentum behind sustainability-linked financing within Kenya's debt capital markets.
- **I&M joins wave of corporate capital raising activity -** I&M Holdings moved to tap the domestic debt market through the first tranche of its KES 20.0 Bn Medium-Term Note programme, seeking to raise KES 10.0 Bn via a 5.5-year fixed-rate note priced at 12.20%.The offer opened on 30th April 2026 and will close on 15th May 2026, with a minimum investment requirement of KES 500,000. The transaction comes amid heightened activity within the domestic debt market as institutions increasingly move to secure longer-term funding while investors continue searching for attractive yields within fixed income markets.
- **FY2025 earnings season paints a mixed but resilient corporate picture:** Listed companies continued to release their FY2025 financial results, with performance varying across sectors amid a challenging operating environment. The banking sector remained broadly resilient, supported by strong earnings growth, improving asset quality, and attractive shareholder payouts. In the insurance space, Jubilee Holdings delivered strong earnings growth alongside increased dividend payouts, while Sanlam Allianz maintained profitability despite pressure on investment returns. Select corporates also demonstrated notable operational recovery, with Bamburi Cement returning strongly to profitability following improved operational execution and strategic transition under new ownership, while Real People Kenya returned to profitability following the successful restructuring of its balance sheet. However, pressure persisted across segments of the consumer, media, and agricultural sectors, with Nation Media Group, Limuru Tea, and select real estate counters continuing to grapple with margin pressure, weaker demand conditions, and elevated operating costs.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
1.	**ABSA Bank**	FY2025 posted a 9.7% y/y rise in PAT to KES 22.91Bn, supported by sharply lower impairments, disciplined cost management and continued growth in non-funded income streams. NII softened amid margin normalization and lower lending yields, though stronger fee-based income and improved funding costs helped cushion revenue performance. Asset quality improved with the NPL ratio easing to 11.5%, while a resilient deposit base and strong capital position supported balance sheet stability and sustained earnings resilience.
2.	**Co-operative Bank**	FY'25 posted a 16.9% y/y rise in PAT to KES 29.75Bn, supported by strong NII growth (+22.0% y/y) and continued expansion in the loan book. Operating income rose significantly, with cost discipline maintained through digital efficiency. A solid funding base, reflected in customer deposits rising to KES 574.17Bn, and a proposed dividend of KES 2.50 per share underpinned shareholder returns.
3.	**Diamond Trust Bank**	FY'25 posted a 23.1% y/y rise in PAT to KES 9.41Bn, supported by robust NII growth (+24.2% y/y) and a 13.6% expansion in the loan book. Non-funded income fell 9.1% y/y to KES 11.81Bn as FX trading income halved. A solid funding base, with deposit growth to KES 509.14Bn, and the disposal of the Burundi unit support a recommended a final dividend of KES 9.00 per share, up 28.6% from KES 7.00.
4.	**E.A Breweries Limited**	Net earnings rose 38.0% y/y to KES 11.20Bn, driven by 11.0% revenue growth and 8.0% volume expansion, supported by favorable excise adjustments and cost efficiencies. Strong regional performance, particularly Tanzania and Uganda, underpinned earnings. The Board declared an interim dividend of KES 4.00 per share.
5.	**E.A Portland Cement**	Net earnings improved to a profit of KES 35.1Mn from a loss of KES 720.7Mn. This return to profitability was anchored on improving sales volume driven by strategic pricing. Additionally, improved plant utilization helped minimize operational costs, improving retained earnings in the period.
6.	**Equity Group**	Equity Group reported a record 54.7% y/y increase in Group PAT to KES 75.55Bn in FY'25, supported by strong NII growth (+16.8% y/y) and a 9.2% expansion in total assets. Non-funded income rose 6.7% to KES 90.8Bn, with regional subsidiaries (DRC, Uganda, Rwanda) now contributing 48.0% of Group PAT. Operating income rose 12.4% y/y, while the cost-to-income ratio improved to 51.0% due to digital migration. The Board of Directors recommended a final dividend of KES 5.75 per share.
7.	**I&M Group**	FY'25 posted a 24.5% y/y rise in Group PAT (before non-controlling interest) to KES 19.83Bn, supported by total operating income crossing the KES 60.33Bn mark for the first time. Group ROE improved to 18.0%, and the cost-to-income ratio tightened to 46.8%. Improved asset quality, with the group NPL ratio falling to 9.7%, and customer deposits rising 17.4% to KES 483.94Bn underpinned a total dividend of KES 3.75.
8.	**Kapchorua Tea**	Net earnings plunged by 54.6% y/y to KES 181.18Mn from KES 399.36Mn. The decline was driven by persistent oversupply in the global tea market, which continued to suppress demand and prices.
9.	**KCB Group**	KCB Group recorded a 10.6% y/y increase in net earnings to KES 68.35Bn in FY'25, driven by a 7.8% rise in net interest income and loan book expansion, despite a 2.6% decline in non-funded income to KES 65.76Bn. Operating income growth was complemented by improved efficiency, with the cost-to-income ratio easing to 42.3%, while asset quality strengthened as the NPL ratio declined to 16.7% (from 20.4%). Total assets grew 9.4% to KES 2.15Tn, lifted by 16.3% y/y growth in the loan book.
10.	**KPLC**	KPLC maintained its recovery into FY'25/26, supported by higher electricity sales and improved operational efficiency. For the half-year ended December 2025, the company posted profit before tax of KES 14.83Bn with revenue up 6.9% y/y to KES 114.90Bn, driven by 10.5% growth in unit sales. Lower finance costs (-25.0%) following reduced borrowings supported earnings, while the Board declared an interim dividend of KES 0.30 per share, a 50.0% increase.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
11.	**NCBA Group**	Posted a 7.0% y/y rise in FY'25 Group PAT to KES 23.39Bn was primarily driven by strong Net Interest Income growth (+27.7% y/y to KES 44.08Bn), complemented by a 5.0% expansion in the loan book to KES 317.16Bn. Operating income rose 17.0% y/y, while cost discipline was maintained despite a 46.3% increase in loan loss provisions as the group proactively managed asset quality, leading to a 3.6% reduction in gross Non-performing loans and advances. A solid funding base, reflected in 5.9% y/y growth in customer deposits to KES 531.87Bn, and strengthened capital buffers underpinned a record total dividend of KES 7.10 per share.
12.	**Safaricom**	Safaricom Plc delivered a strong FY26 performance, with net income rising 24.7% y/y to KES 119.10Bn, supported by double-digit growth in service revenue. Growth was largely driven by sustained momentum in M-PESA, mobile data, and fixed services, while the Group's active customer base expanded 25.4% to 71.56Mn, supported by strong traction in Ethiopia. The Board proposed a final dividend of KES 1.15 per share, bringing the total FY26 dividend payout to KES 2.00 per share, underscoring strong cash generation and shareholder returns.
13.	**Stanbic Bank**	FY'25 Group PAT remained flat at KES 13.72Bn, indicating normalization in income lines following elevated gains in prior periods, particularly from FX trading amid heightened currency volatility. Group NII declined 1.1% y/y, but the result was rescued by a 47.5% reduction in credit impairment charges as the credit loss ratio hit a record low of 0.6%. The group balance sheet grew 19.0% to KES 541.25Bn, supported by 24.4% loan growth and aggressive rotation into government securities. A record high dividend of KES 22.35 per share reflected the group's strong capital position.
14.	**Standard Chartered Bank Kenya**	FY2025 posted a 38.8% y/y fall in Group PAT to KES 12.44Bn, primarily weighed down by a significant one-off pension litigation charge and a 13.1% decline in NII. Non-funded income fell 23.0% y/y on reduced trading activity, though the wealth management and digital banking segments remained resilient. Despite the earnings dip, operating efficiency remained high outside of the litigation impact. A robust capital position and high liquidity underpinned the bank's commitment to a high payout ratio, with a total dividend of KES 31.00.
15.	**Williamson Tea**	Net earnings declined to a loss of KES 166.44Mn from a profit of KES 529.95Mn. The business recorded a KES 392.22Mn loss from operations before tax which we believe was underpinned by oversupply in the global tea market, which pressured prices and demand.
16.	**Liberty Kenya Holdings**	Posted a 65.3% y/y decline in total Group PAT to KES 0.49Bn in FY'25, as insurance service expenses rose 19.1%, significantly outpacing the 8.5% growth in insurance revenue. Underwriting margins were squeezed by elevated claims in motor and medical sectors, while net investment income fell 17.8% due to declining interest rates. The disposal of the Tanzanian subsidiary resulted in an accounting loss, impacting discontinued operations. Despite the earnings contraction, a solid capital base allowed the board to maintain a dividend of KES 0.50.
17.	**CIC Insurance**	FY'25 posted a decline in Group PAT to KES 0.51Bn (down from KES 2.85Bn), as insurance service expenses surged to KES 28.2Bn, resulting in a negative insurance service result. Insurance revenue grew 11.8% to KES 29.46Bn, supported by strong asset management fee growth (+40.7%). The group balance sheet expanded 19.1% to KES 73.75Bn, driven by a KES 11.05Bn increase in financial investment assets. A resilient capital base and diversified income streams underpinned the decision to maintain the dividend at KES 0.13.
18.	**Jubilee Insurance**	FY'25 posted a 17.6% y/y rise in PAT to KES 5.55Bn, supported by strong insurance revenue growth (+16.5% y/y to KES 29.92Bn). Gross written premiums and deposit administration grew 17.7% to KES 62.40Bn, underpinned by double-digit growth in Life and Health segments. Operating income remained robust as the net financial result rose to KES 4.51Bn, though the health business faced elevated claims in Kenya and Uganda. Balance sheet resilience was reflected in total assets expanding 17.6% to KES 251.08Bn, supporting a record total dividend of KES 15.00 per share.

April 2026 Equities Market Highlights

- In April, Kenyan equities staged a rally, with the Nairobi All Share Index (NASI) climbing 5.4% m/m to 205.34 points as renewed buying activity across large-cap counters lifted overall market sentiment. The NSE 10 Share Index advanced 5.2% m/m, while the NSE 20 and NSE 25 indices gained 3.4% and 4.6% m/m respectively, signaling sustained investor optimism and strengthening market momentum.

- Despite a 20.1% m/m decline in equity turnover to KES 15.24 Bn, market activity remained significantly stronger on a y/y basis, with turnover more than doubling compared to April 2025. Foreign investor sentiment also improved during the month, with foreign inflows rising 3.3% m/m alongside a sharp 25.0% decline in foreign outflows, narrowing net foreign outflows to KES 1.98 Bn. Consequently, market capitalization rose 5.4% m/m to KES 3.41 Tn, underscoring renewed confidence within the equities market.

Table 2: Equity Market Statistics

Statistic	30-Apr-2026	31-Mar-2026	30-Apr-2025	M/M Change	Y/Y Change
Equity Turnover	15,237.50	19,067.40	7,518.06	▼ (20.1%)	▲ 102.7%
Market Cap (KES billion)	3,405.29	3,230.73	1,981.79	▲ 5.4%	▲ 71.8%
NSE All share Index (RHS)	205.34	194.82	126.08	▲ 5.4%	▲ 62.9%
NSE 10 share index	2,134.94	2,030.35	1,284.67	▲ 5.2%	▲ 66.2%
NSE 20 Index	3,547.53	3,431.56	2,135.51	▲ 3.4%	▲ 66.1%
NSE 25	5,667.98	5,416.72	3,412.63	▲ 4.6%	▲ 66.1%
Foreign buys	4479.49	4335.63	4430.44	▲ 3.3%	▲ 1.1%
Foreign sales	6455.14	8610.32	5281.30	▼ (25.0%)	▲ 22.2%
Net F. Flows	(1975.65)	(4274.69)	(850.87)	▼ (53.8%)	▲ 332.2%
Total Volume Traded(Mn)	653.59	623.91	329.33	▲ 4.8%	▲ 98.5%

Source: NSE, AIB-AXYS Africa Research

- ***Kenya Airways Ltd*** was the top gainer in April 2026, clocking a 32.4% m/m gain to KES 6.50. ***BOC Kenya*** was the second largest gainer, climbing 24.3% m/m to KES 151.00. ***BK Group*** rose 16.1% m/m to KES 54.50. ***Co-operative Bank of Kenya*** was fourth, advancing 15.9% m/m to KES 31.30, and ***Car & General*** was fifth, gaining 13.6% m/m to KES 73.00.

- ***Flame Tree Group Holdings*** was the top capital loser, slipping 17.1% m/m to KES 2.14, ***Uchumi Supermarket*** was second, shedding 7.8% m/m to KES 1.88, while ***Shri Krishana Overseas*** was third, trimming 7.2% m/m to KES 8.76. ***Umeme Ltd*** was fourth, trimming 6.9% to KES 8.04, while ***Africa Mega Agricorp*** was fifth, trimming 6.3% m/m to KES 108.23

Table 3: Top Gainers and Losers April 2026

Top Gainers April	Closing Price		% Change
Kenya Airways Ltd	KES	6.50	▲ 32.4%
B.O.C Kenya	KES	151.00	▲ 24.3%
BK Group	KES	54.50	▲ 16.1%
Co-operative Bank of Keny	KES	31.30	▲ 15.9%
Car & General	KES	73.00	▲ 13.6%
Total Kenya	KES	44.60	▲ 12.1%
Eaagads Ltd	KES	33.75	▲ 11.4%
Stanbic Holdings	KES	286.00	▲ 11.3%
Satrix MSCI World Feeder	KES	901.00	▲ 9.5%
Safaricom Plc	KES	29.70	▲ 8.0%

Top Losers April	Closing Price		% Change
Flame Tree Group Holdings	KES	2.14	▼ (17.1%
Uchumi Supermarket	KES	1.88	▼ (7.8%)
Shri Krishana Overseas Plc	KES	8.76	▼ (7.2%)
Umeme Ltd	KES	8.04	▼ (6.9%)
Africa Mega Agricorp	KES	108.25	▼ (6.3%)
CIC Insurance Group	KES	4.26	▼ (6.0%)
Home Afrika Ltd	KES	1.42	▼ (5.3%)
Williamson Tea Kenya	KES	131.00	▼ (5.2%)
Eveready East Africa	KES	1.15	▼ (5.0%)
Nairobi Business Ventures	KES	1.41	▼ (4.7%)

Safaricom PLC recorded the highest turnover in April 2026, with aggregate turnover clocking KES 4,257.3 Mn. ***Equity Group*** was second, with turnover amounting to KES 2,959.2 Mn. ***Kenya Pipeline Company*** came in third, with total turnover clocking KES 2,363.3 Mn.

Foreigners accounted for the larger share of trading activity in ***Safaricom plc, Equity Group, Kenya Power & Lighting Co, East African Breweries Ltd and KCB Group.***

Table 4: Top Movers April 2026

Top Movers 2026	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (MTD)
Safaricom Plc	KES 4,275.3	$33.09	70.5%	KES 29.70	▲ 8.0%
Equity Group Holdings	KES 2,959.2	$22.90	52.5%	KES 73.50	▲ 6.5%
Kenya Pipeline Company	KES 2,363.3	$18.29	0.1%	KES 9.24	▲ 1.8%
KCB Group	KES 1,712.0	$13.25	22.8%	KES 67.00	▼ (1.1%)
I&M Holdings	KES 512.8	$3.97	0.5%	KES 49.50	▲ 1.9%
Co-operative Bank of Kenya	KES 489.4	$3.79	1.4%	KES 31.30	▲ 15.9%
Absa Bank Kenya	KES 328.3	$2.54	19.2%	KES 30.50	▲ 6.8%
East African Breweries	KES 326.4	$2.53	37.4%	KES 243.50	▼ (3.0%)
Kenya Power & Lighting Co	KES 263.5	$2.04	40.8%	KES 16.30	▲ 1.6%
Standard Chartered Bank	KES 257.5	$1.99	9.3%	KES 351.00	▲ 6.3%
British American Tobacco Kenya	KES 233.6	$1.81	10.4%	KES 574.00	▲ 1.6%
Kenya Airways Ltd	KES 226.5	$1.75	0.9%	KES 6.50	▲ 32.4%
KenGen Co.	KES 161.9	$1.25	10.4%	KES 9.30	▲ 2.4%
Diamond Trust Bank	KES 155.0	$1.20	6.2%	KES 147.50	▲ 1.0%
NCBA Group	KES 128.9	$1.00	12.6%	KES 89.00	▼ (1.9%)

AIB-AXYS May 2026 Stock Recommendations

AIB-AXYS Africa Equities Coverage Universe

Prices as at 8th May 2026

Stock	Strengths	Risks	Recommendation
ABSA Bank Kenya Current Price: KES 28.10 Target Price: KES 31.39 Upside: 11.7%	• Absa delivered 9.7% y/y growth in PAT to KES 22.91Bn, primarily driven by a 31.8% decline in loan loss provisions, highlighting improving credit performance and disciplined risk management.	• Net interest income declined 6.4% y/y to KES 43.29Bn, reflecting moderating lending yields and margin normalization amid easing interest rates.	*BUY*
Co-operative Bank Current Price: KES 29.40 Target Price: KES 33.38 Upside: 13.5%	• A diversified, retail-heavy lending model underpins stable deposit growth and provides a relatively low and stable cost of funds. • Subsidiaries remain key earnings drivers, with Bancassurance PBT rising 39.7% y/y to KES 1.15 Bn, while the South Sudan subsidiary returned to profitability, offering incremental earnings support beyond the core banking business.	• A stable Kenya shilling continues to compress foreign exchange trading margins, increasing reliance on loan growth and fee-based income to sustain revenue momentum.	*BUY*
Equity Group Current Price: KES 74.75 Target Price: KES 93.49 Upside: 25.1%	• A NIM of 7.4%, alongside stable operating expenses, reflects efficient balance sheet deployment and disciplined execution. • Continued investment in digital platforms and technology-driven processes has strengthened productivity, lowering the cost-to-income ratio to 50.6% (ex-provisions) and reinforcing a scalable, low-cost operating model.	• As interest rates moderate and funding costs stabilize, net interest margins may normalize, increasing reliance on volume growth and non-interest income to sustain earnings momentum.	*BUY*
Diamond Trust Bank (DTB-K) Current Price: KES 149.00 Target Price: KES 153.61 Upside: 3.1%	• Lower funding costs (interest expense -14.6% y/y) and controlled cost growth supported margin stability,	• Operating costs rose broadly in line with income, keeping the cost-to-income ratio elevated and limiting near-term operating leverage.	*HOLD*
KCB Group Current Price: KES 66.75 Target Price: KES 87.14 Upside: 30.5%	• An 8.2% y/y expansion in the loan book and increased allocation to government securities reflect prudent liquidity management.	• Hyperinflation and economic instability in South Sudan and Burundi continue to weigh on subsidiary performance and earnings visibility.	*BUY*
Stanbic Kenya Current Price: KES 290.00 Target Price: KES 243.03 Downside: 16.2%	• Strong profitability growth, with Q1 2026 profit after tax rising 5.5% y/y to KES 3.52Bn, supported by growth in net interest income and improved operating efficiency. • A progressive dividend policy	• Non-interest income softened, weighed down by lower foreign exchange trading income and reduced transactional activity.	*SELL*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
NCBA Group Current Price: KES 88.25 Target Price: KES 98.25 Upside: 11.3%	• Gross NPLs declined 6.0% y/y to KES 38.68 Bn, with the NPL ratio improving to 12.6% and coverage strengthening to 68.9%, signaling better credit outcomes and disciplined provisioning. • A progressive dividend policy	• Non-interest income declined 1.9% y/y, weighed down by weaker FX trading income amid a stable shilling, increasing reliance on funded income.	*BUY*
Standard Chartered Bank Current Price: KES 334.75 Target Price: KES 318.45. Downside: 4.9%	• The bank increased allocation to government securities, providing stable returns and cushioning earnings amid subdued loan growth and declining interest rates. • Progressive and consistent divided policy • Growth in wealth and asset management income helped offset weakness in core banking revenues.	• Net interest income fell 10.3% y/y, while non-funded income declined 28.6% y/y, driven by lower transaction volumes and a sharp drop in FX trading income amid a stable Kenya shilling. • Contracting loan book, softer transaction services, and expected margin compression in 2026 point to lower near-term earnings.	*HOLD*
EABL Group Current Price: KES 245.25 Target Price: KES 257.35 Upside: 4.9%	• Tanzania and Uganda continued to drive growth, cushioning softer demand in Kenya and reinforcing EABL's diversified East African footprint. • The declaration of an interim dividend of KES 4.00 per share underscores balance sheet strength and management's confidence in earnings sustainability.	• Illicit alcohol is increasingly tampering with the market, posing a challenge to revenues. • A slowdown in disposable income growth or shifts in consumer preferences could weigh on volumes, particularly in the mass beer segment.	*HOLD*
Safaricom Plc Current Price: KES 32.20 Target Price: KES 34.30 Upside: 6.5%	• Strong earnings growth, supported by continued expansion across M-PESA, mobile data, and fixed connectivity services alongside improved performance from the Kenyan business. • Robust cash generation and shareholder returns, reflected in higher free cash flow and a total FY26 dividend payout of KES 2.00 per share.	• Regulatory and taxation risks within the telecommunications and mobile money space remain a key area of focus, particularly as Safaricom continues to deepen M-PESA monetization and expand digital financial services across the region.	*BUY*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Jubilee Holdings Current Price: KES 385.75 Target Price: KES 403.50 Upside: 4.6%	• Strong profitability growth, with net profit rising 18.0% y/y to KES 5.62Bn supported by higher insurance revenue, improved operational efficiency, and strong premium growth across Life and Health businesses. • Progressive dividend policy.	• Elevated health insurance claims in Kenya and Uganda continued to pressure loss ratios, particularly within corporate segments. • Growth in insurance service expenses and reinsurance costs partially weighed on underwriting margins despite strong revenue growth.	*HOLD*
I&M Group Current Price: 49.95 Target Price: 56.66 Upside: 13.4%	• Net interest income rose 21.3% y/y while non-interest income increased 17.0% y/y, reflecting successful execution of the Imara 3.0 strategy. • Gross NPLs declined 7.0% y/y, with the NPL ratio improving to 9.9%, while deposits grew 10.0% y/y, strengthening liquidity and funding resilience.	• Operating expenses increased 16.0% y/y due to investments in digital infrastructure and expansion, which could pressure efficiency if revenue growth moderates.	*BUY*
Kapchorua Tea Current Price: KES 252.00 Target Price: KES 260.50 Upside: 3.4%	• Kapchorua Tea reported a significant rebound in net profit to KES 95.18 Mn from KES 18.23 Mn, driven by improved operations and fair value gains in biological assets. • Progressive dividend policy	• Tea exports are sensitive to global supply and demand pressures, which can compress realizations and margins. • Despite the profit turnaround, turnover declined year-on-year as tea prices and production fluctuate, which can impact top-line stability.	*HOLD*
CIC Insurance Current Price: KES 4.33 Target Price: KES 4.90 Upside: 13.2%	• Continued diversification efforts through asset management growth and new digital insurance solutions such as EasyBima, supporting long-term growth potential. • Improved liquidity position, with cash and cash equivalents increasing to KES 12.91Bn supported by positive operating cash flows.	• Insurance service result turned negative during the year, reflecting elevated claims and rising insurance service expenses. • Earnings per share fell sharply to KES 0.21 from KES 1.04, signaling weaker shareholder returns despite stable dividend payouts.	*BUY*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 130.50 Target Price: KES 159.00 Upside: 21.8%	• Half-year results to 30 Sep 2025 show a dramatic reduction in net loss (to KES 10.1 Mn), demonstrating improved cost discipline and operational control amid challenging conditions. • Progressive dividend policy	• Revenue remained under pressure with market conditions driving lower sales even as costs were controlled, reflecting ongoing demand and pricing challenges.	*BUY*
KPLC Current Price: KES 16.15 Target Price: KES 18.79 Upside: 16.3%	• KPLC delivered robust H1 FY2025/26 performance, with profit before tax of KES 14.83 Bn and revenue up 6.9% y/y to KES 114.90 Bn, supported by higher electricity sales. • The Board declared an interim dividend of KES 0.30 per share, representing a 50.0% increase, signaling improved cash flow strength.	• Earnings remain sensitive to regulatory decisions on tariffs and cost pass-through mechanisms, which may lag cost movements and affect near-term profitability.	*BUY*
Liberty Kenya Holdings Current Price: KES 9.78 Target Price: KES 9.88 Upside: 1.0%	• Progressive dividend policy. • Strong credit profile and financial stability, with GCR Ratings affirming the Group's AA+(KE) financial strength rating with a stable outlook. • Continued growth across both short-term and long-term insurance businesses, supported by stable insurance revenue growth to KES 11.88Bn.	• Profitability declined sharply, with total earnings falling 65.3% y/y to KES 487.00Mn amid elevated claims and weaker investment performance. • Underwriting margins remained under pressure due to elevated motor, medical, fire, and group life claims across the insurance business.	*HOLD*
BAT Kenya Current Price: KES 569.00 Target Price: KES 609.41 Upside: 7.1%	• BAT delivered 17.0% y/y growth in net earnings to KES 5.25 Bn, supported by a 14.6% reduction in operating costs, highlighting strong cost discipline. • The Board recommended a final dividend of KES 60.00 per share, reinforcing BAT's reputation as one of the highest dividend-paying stocks on the NSE. • Expansion of modern oral nicotine pouches is expected to drive future growth.	• Revenues declined to KES 35.95 Bn as the proliferation of illicit cigarettes continues to erode domestic market volumes. • The tobacco sector remains exposed to tight regulation and taxation, which may constrain long-term demand growth.	*HOLD*

AIB-AXYS May 2026 Stock Recommendations

AIB-AXYS Africa *Shari'ah Equities* Portfolio Recommendation

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 130.50 Target Price: KES 159.00 Upside: 21.8%	• Growing demand for diverse tea blends offer new growth frontiers. • Large disparity between prevailing market price and book value presents ample room for long-term price discovery. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*BUY*
Kapchorua Tea Current Price: KES 252.00 Target Price: KES 260.50 Upside: 3.4%	• Kapchorua Tea reported a significant rebound in net profit to KES 95.18 Mn from KES 18.23 Mn, driven by improved operations and fair value gains in biological assets. • Progressive dividend policy.	• Tea exports are sensitive to global supply and demand pressures, which can compress realizations and margins. • Despite the profit turnaround, turnover declined year-on-year as tea prices and production fluctuate, which can impact top-line stability.	*HOLD*
KenGen Plc Current Price: KES 9.24 Target Price: KES 11.40 Upside: 23.4%	• KenGen's generation mix is heavily weighted toward geothermal and other renewables, providing relatively low and stable generation costs. • Power Purchase Agreements with Kenya Power underpin predictable revenues, supporting earnings stability and long-term investment planning.	• Variability in rainfall affects hydro generation, which can pressure output and necessitate higher-cost thermal alternatives in dry periods.	*BUY*
KPLC Current Price: KES 16.15 Target Price: KES 18.79 Upside: 16.3%	• KPLC delivered robust H1 FY2025/26 performance, with profit before tax of KES 14.83 Bn and revenue up 6.9% y/y to KES 114.90 Bn, supported by higher electricity sales. • The Board declared an interim dividend of KES 0.30 per share, representing a 50.0% increase, signaling improved cash flow strength.	• Earnings remain sensitive to regulatory decisions on tariffs and cost pass-through mechanisms, which may lag cost movements and affect near-term profitability.	*BUY*
Sasini Plc Current Price: KES 28.50 Target Price: KES 28.50 Upside: 0.0%	• Sasini benefits from multiple revenue streams including tea, coffee, macadamia, avocado, and dairy, reducing reliance on a single commodity and supporting earnings resilience.	• Earnings remain sensitive to fluctuations in global tea, coffee, and macadamia prices, which can affect revenue stability.	*SELL*

AIB-AXYS April 2026 Market Scorecard

MARKET SCORECARD	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
	As of:		30/Apr/26												
AGRICULTURAL															
Eaagads Ltd	33.75	▲ 2.3%	▲ 66.7%	133	40.23	1,085.3	0.03%	0.37	-	91.2x	0.8x	0.0%	0.0%	0.9%	0.8%
Kakuzi Plc	423.75	▲ 0.8%	▲ 5.4%	131	284.08	8,305.5	0.25%	17.12	16.00	24.8x	1.5x	3.8%	80.9%	6.0%	4.6%
Kapchorua Tea Kenya Plc	241.75	-	▲ 4.4%	3,103	255.42	1,891.5	0.06%	23.16	25.00	10.4x	0.9x	10.3%	107.9%	9.1%	6.7%
The Limuru Tea Co. Plc	510.00	▼ (0.8%)	▲ 10.9%	100	54.29	1,224.0	0.04%	(21.88)	-	(23.3x)	9.4x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	26.00	-	▲ 45.7%	57,899	92.72	5,929.4	0.18%	(2.75)	-	(9.5x)	0.3x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	131.00	▼ (3.3%)	▼ (12.4%)	40,790	335.95	2,294.2	0.07%	(8.76)	10.00	(15.0x)	0.4x	7.6%	(114.2%)	0.0%	0.0%
Industry Median		-	▲ 8.1%			20,729.8	0.64%			0.5x	0.9x	1.9%	0.0%	0.5%	0.4%
AUTOMOBILES & ACCESSORIES															
Car & General (K) Ltd	73.00	▲ 12.3%	▲ 43.1%	49,473	205.96	2,927.5	0.09%	30.50	3.42	2.4x	0.4x	4.7%	11.2%	14.8%	5.6%
BANKING															
ABSA Bank Kenya Plc	30.50	▼ (1.1%)	▲ 23.5%	1,050,994	18.51	165,661.8	5.08%	4.22	2.05	7.2x	1.6x	6.7%	48.6%	22.8%	4.3%
BK Group Plc	54.50	▲ 0.5%	▲ 28.2%	43,610	51.63	48,873.4	1.50%	16.50	7.59	3.3x	1.1x	13.9%	70.2%	32.0%	5.7%
Diamond Trust Bank Kenya Ltd	147.50	-	▲ 28.8%	29,233	361.60	41,241.3	1.26%	33.65	9.00	4.4x	0.4x	6.1%	26.7%	9.3%	1.4%
Equity Group Holdings Plc	73.50	▼ (0.7%)	▲ 10.1%	5,710,200	82.02	277,365.1	8.50%	19.07	5.75	3.9x	0.9x	7.8%	30.2%	23.3%	3.7%
HF Group Plc	9.00	-	▼ (9.6%)	271,824	11.84	13,439.9	0.41%	0.75	-	12.0x	0.8x	0.0%	0.0%	6.3%	1.4%
I&M Group Plc	49.50	▲ 0.1%	▲ 16.6%	1,617,767	66.32	85,956.8	2.63%	10.79	3.75	4.6x	0.7x	7.6%	34.8%	16.3%	2.8%
KCB Group Plc	67.00	▼ (0.4%)	▲ 1.9%	1,722,139	103.15	215,302.0	6.60%	20.80	7.00	3.2x	0.6x	10.4%	33.7%	20.2%	3.1%
NCBA Group	89.00	▲ 0.3%	▲ 6.0%	65,358	77.34	146,629.2	4.49%	14.20	7.10	6.3x	1.2x	8.0%	50.0%	18.4%	3.3%
Stanbic Holdings Plc	286.00	▼ (1.5%)	▲ 44.6%	9,595	202.75	113,062.0	3.46%	34.70	22.35	8.2x	1.4x	7.8%	64.4%	17.1%	2.5%
Standard Chartered Bank Kenya Ltd	351.00	▼ (1.7%)	▲ 18.1%	130,707	175.52	132,625.5	4.06%	32.47	31.00	10.8x	2.0x	8.8%	95.5%	18.5%	3.4%
The Co-operative Bank of Kenya Ltd	31.30	▼ (0.9%)	▲ 30.7%	240,179	28.20	183,642.7	5.63%	5.04	2.50	6.2x	1.1x	8.0%	49.6%	17.9%	3.6%
Industry Median		▼ (0.4%)	▲ 18.1%			1,423,799.7	43.63%			6.2x	1.1x	7.8%	48.6%	18.4%	3.3%
COMMERCIAL AND SERVICES															
Eveready East Africa Ltd	1.15	▼ (0.9%)	▼ (16.1%)	542,652	0.30	241.5	0.01%	(0.28)	-	(4.1x)	3.9x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	7.40	▼ (2.4%)	-	6,723	7.74	353.1	0.01%	(2.26)	-	(3.3x)	1.0x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	0.89	294.5	0.01%	0.46	-	10.1x	5.2x	0.0%	0.0%	51.4%	14.9%
Kenya Airways Ltd	6.50	▼ (6.6%)	▲ 84.1%	885,089	-22.68	37,856.0	1.16%	(2.29)	-		(0.3x)	0.0%	0.0%	0.0%	0.0%
Longhorn Publishers Plc	2.96	▼ (5.4%)	▲ 2.1%	5,692	0.01	806.4	0.02%	(1.38)	-	(2.1x)	267.5x	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	1.41	▼ (0.7%)	▼ (4.1%)	29,103	1.41	1,908.7	0.06%	0.01	-	152.7x	1.0x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	13.95	▼ (0.4%)	▲ 20.8%	4,191	33.95	2,893.2	0.09%	(1.80)	-	(7.8x)	0.4x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	16.80	▲ 0.3%	▲ 17.9%	14,488	2.98	4,676.2	0.14%	0.93	-	18.1x	5.6x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	6.22	▲ 1.3%	▲ 3.0%	637	-28.82	508.4	0.02%	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	16.30	-	▲ 10.9%	319	73.39	2,969.4	0.09%	2.77	0.35	5.9x	0.2x	2.1%	12.6%	3.8%	2.3%
Uchumi Supermarket Plc	1.88	▼ (1.1%)	▲ 82.5%	334,900	-19.32	686.1	0.02%	0.03	-	62.7x	(0.1x)	0.0%	0.0%	(0.2%)	0.4%
WPP Scangroup Plc	2.24	▼ (0.9%)	▼ (12.2%)	8,093	9.24	968.0	0.03%	(1.61)	-	(1.4x)	0.2x	0.0%	0.0%	0.0%	0.0%
Industry Median		▼ (0.8%)	▲ 2.5%			16,305.5	0.50%			(1.0x)	1.0x	0.0%	0.0%	0.0%	0.0%
CONSTRUCTION & ALLIED															
Bamburi Cement Ltd	54.00	-	-	0	69.50	19,599.8	0.60%	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	56.50	▲ 4.1%	▲ 3.7%	3,513	25.41	8,043.5	0.25%	1.34	-	42.2x	2.2x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	1.71	-	-	0	0.34	432.8	0.01%	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	79.75	▲ 2.6%	▲ 8.5%	719	226.97	7,177.5	0.22%	20.26	-	3.9x	0.4x	0.0%	0.0%	8.9%	5.2%
Industry Median		▲ 1.3%	▲ 1.8%			35,253.6	1.08%			4.3x	1.5x	0.0%	0.0%	7.1%	2.0%
ENERGY & PETROLEUM															
KenGen Co. Plc	9.30	-	▲ 1.3%	761,324	42.89	61,329.1	1.88%	1.43	0.90	6.5x	0.2x	9.7%	56.6%	3.3%	1.9%
Kenya Power & Lighting Co Plc	16.30	▼ (0.3%)	▲ 19.9%	408,834	60.56	31,808.9	0.97%	12.76	1.10	1.3x	0.3x	6.7%	8.8%	21.1%	6.3%
TotalEnergies Marketing Kenya Plc	44.60	▲ 4.8%	▲ 15.7%	83,307	53.48	28,077.6	0.86%	3.45	3.45	12.9x	0.8x	7.7%	100.0%	6.5%	3.1%
Umeme Ltd	8.04	▼ (0.5%)	▲ 2.8%	21,932	7.55	13,056.0	0.40%	(3.55)	7.68	(2.3x)	1.1x	95.6%	(161.2%)	0.0%	0.0%
Kenya Pipeline Company Plc	9.24	▲ 0.4%	▲ 0.7%	160,067	5.41	167,921.3	5.15%	0.41	0.32	22.4x	1.7x	3.5%	78.8%	7.6%	5.4%
Industry Median		-	▲ 2.8%			302,192.8	9.26%			6.5x	0.6x	8.7%	32.7%	4.9%	2.5%
INSURANCE															
Britam Holdings Plc	12.30	▼ (0.4%)	▲ 35.2%	110,119	13.89	31,038.9	0.95%	2.18	-	5.6x	0.9x	0.0%	0.0%	15.7%	2.3%
CIC Insurance Group Ltd	4.26	-	▼ (6.8%)	293,965	4.53	11,142.2	0.34%	0.21	0.13	20.3x	0.9x	3.1%	61.9%	4.6%	0.7%
Jubilee Holdings Ltd	380.25	▲ 1.4%	▲ 13.5%	712	767.27	27,557.8	0.84%	80.00	15.00	4.8x	0.5x	3.9%	18.8%	10.4%	2.3%
Kenya Re- Insurance Corporation Ltd	3.33	▲ 0.3%	▲ 10.6%	1,286,102	9.74	18,646.6	0.57%	0.70	0.15	4.8x	0.3x	4.5%	21.4%	7.2%	5.4%
Liberty Kenya Holdings Ltd	9.80	▼ (0.6%)	▼ (3.0%)	4,269	18.82	5,249.9	0.16%	0.85	0.50	11.5x	0.5x	5.1%	58.8%	4.5%	1.0%
Sanlam Kenya Plc	9.18	▲ 0.2%	▲ 8.5%	7,646	7.20	5,911.9	0.18%	1.52	-	6.0x	1.3x	0.0%	0.0%	21.1%	2.5%
Industry Median		▲ 0.1%				99,547.4	3.05%			5.8x	0.7x	3.5%	20.1%	8.8%	2.3%
INVESTMENT															
Centum Investment Co Plc	13.65	▼ (1.8%)	▼ (1.4%)	26,547	64.49	9,084.8	0.28%	2.09	0.32	6.5x	0.2x	2.3%	15.6%	3.2%	1.6%
Home Afrika Ltd	1.42	▼ (1.4%)	▲ 6.0%	193,175	-1.64	575.5	0.02%	0.08	-	17.8x	(0.9x)	0.0%	0.0%	(4.9%)	0.9%
Kurwitu Ventures Ltd	1,500.00	-	-	0	502.63	153.4	0.00%	(35.95)	-	(41.7x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	7.22	▼ (2.7%)	▼ (12.2%)	1,904	30.87	288.8	0.01%	0.26	-	27.7x	0.2x	0.0%	0.0%	0.8%	0.5%
Trans-Century Plc	1.12	-	-	0	-38.80	420.2	0.01%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		▼ (1.4%)	-			10,522.7	0.32%			6.5x	0.2x	0.0%	0.0%	0.0%	0.5%
INVESTMENT SERVICES															
Nairobi Securities Exchange Plc	19.90	▼ (0.5%)	▼ (1.7%)	214,523	9.44	5,181.8	0.16%	1.04	1.27	19.1x	2.1x	6.4%	122.1%	11.0%	9.8%
MANUFACTURING & ALLIED															
B.O.C Kenya Plc	151.00	▼ (0.8%)	▲ 18.9%	1,517	112.42	2,948.3	0.09%	16.08	12.85	9.4x	1.3x	8.5%	79.9%	14.3%	12.2%
British American Tobacco Kenya Plc	574.00	-	▲ 25.1%	58,449	154.85	57,400.0	1.76%	52.46	70.00	10.9x	3.7x	12.2%	133.4%	33.9%	22.2%
Carbacid Investments Plc	29.85	▲ 0.8%	▲ 1.7%	7,730	20.00	7,607.3	0.23%	3.94	2.00	7.6x	1.5x	6.7%	50.8%	19.7%	16.8%
East African Breweries Plc	243.50	▼ (0.8%)	▼ (7.4%)	14,464	46.22	252,817.7	7.75%	12.47	9.50	19.5x	5.3x	3.9%	76.2%	27.0%	9.2%
Flame Tree Group Holdings Ltd	2.14	▼ (0.5%)	▲ 56.2%	6,745	6.88	381.0	0.01%	1.13	-	1.9x	0.3x	0.0%	0.0%	16.4%	5.4%
Africa Mega Agricop Plc	108.25	▼ (2.0%)	▲ 53.5%	124	2.18	1,393.0	0.04%	0.13	-	832.7x	49.6x	0.0%	0.0%	6.0%	1.2%
Unga Group Ltd	27.85	▼ (0.4%)	▲ 20.0%	6,390	77.43	2,108.5	0.06%	(5.66)	-	(4.9x)	0.4x	0.0%	0.0%	0.0%	0.0%
Shri Krishana Overseas Plc	8.76	▼ (1.6%)	▲ 7.4%	253		442.4	0.01%								
Industry Median			▲ 20.0%			324,655.8	9.95%			9.4x	1.5x	3.9%	50.8%	16.4%	9.2%
TELECOMMUNICATION															
Safaricom Plc	29.70	▼ (0.3%)	▲ 4.8%	1,306,931	5.38	1,189,943.2	36.47%	2.11	1.50	14.1x	5.5x	5.1%	86.2%	39.2%	16.6%
Market Average		▼ (0.5%)	▲ 10.1%							6.7x	1.4x	3.8%		11.0%	4.7%

Upcoming Corporate Actions

Company	Interim/Special Dividend	Final Dividend	Book Closure	Dividend Payment
Liberty Kenya Holdings		KES 0.50	15-June-26	30-Aug-26
Stanbic Holdings		KES 18.55	15-May-26	**
Kakuzi PLC		KES 16.00	29-May-26	12-June-26
Diamond Trust Bank Kenya		KES 9.00	22-May-26	26-June-26
Equity Group Holdings		KKES 5.75	22-May-26	30-June-26
Jubilee Holdings Ltd		KES 13.00	11-June-26	24-July-26
NSE		KES 1.00	21-May-26	31-July-26
B.O.C Kenya PLC		KES 10.35	31-May-26	21-July-26
Kenya Re Insurance Co		KES 0.15	19-June-26	31-July-26
TPS Eastern Africa Ltd		KES 0.35	26-June-26	30-July-26
TotalEnergies Marketing Kenya		KES 3.45	24-June-26	31-July-26

*Source: NSE, AIB-AXYS Africa Research ** Subject to approval*

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